3.3.4 Pricing

Unit 3.3 Marketing management · 7 key points

- **Influences on pricing:** costs, competition, PED, brand, stage of the life cycle, objectives
- **Penetration pricing:** low price to win market share quickly
- **Price skimming:** high price at launch, lowered later
- **Dynamic pricing:** price changes with demand, e.g. flights and hotels
- **Cost-plus pricing:** adding a percentage to unit cost
- **Competitive pricing:** setting prices close to rivals'
- **Trap:** a lower price only raises revenue if demand is price elastic